INTRODUCTION

The market of an economy where funds are transacted between the fund-surplus and fund-scarce individuals and groups is known as the financial market (definition) [1]**.** The basis of transaction is either *interest* or *dividend*. This market might have its organised (institutionalised) as well as non-organised (unregulated/non-institutionalised) segments in an economy and may serve the purpose of supply of funds for the *short-term* or the *long-term* periods.

Financial markets in every economy are having two separate segments today, one catering to the requirements of the *short-term funds* and the other to the requirements of the *long-term funds*[2]. The short-term financial market is known as the ***money market*** while the long-term financial market is known as the ***capital market.*** The money market fulfills the requirements of funds for the period upto 364 days (*i.e. short term*) while the capital market does the same for the period above 364 days (*i.e., long term*)[3]. The structure of the Indian Financial Market today may be seen in the following way:

A. Indian Money Market
B. Indian Capital Market

A. INDIAN MONEY MARKET

India money market is among the emerging money markets of the world today but yet undeveloped in comparison to the markets of the developed economies[4]. The organised and unorganised segments of the market are co-existing today side by side, though the unorganised segment is not totally unregulated in India. The structure and the components of the Indian money market are as given.[5]

1. Organised Indian Money Market

Present since independence, its real development took place after the year 1985. Today there are eight instruments or components of the Indian money